Leave and Attendance Policy

Document ID	HR-001
Department	Human Resources
Document type	Policy
Owner	Head of People Operations
Version	4.2
Status	APPROVED
Effective / last reviewed	2025-07-09
Audience	All employees
Related documents	HR-015, HR-003, HR-006

Summary. Defines working hours, late marks, attendance recording and every leave type at Northstar Systems, including entitlements, accrual, carry-forward, notice and certificate rules, approval timelines, holidays, loss of pay and worked examples for employees and managers.

SYNTHETIC DOCUMENT - Northstar Systems is a fictional company. This document exists for development, testing and demonstration only and is not real legal, employment, security or compliance advice.

1. Purpose and Scope

This policy sets out how Northstar Systems Private Limited records attendance and grants leave. It applies to all employees on the payroll of Northstar Systems in Bengaluru (Whitefield), Mumbai (Powai) and remote locations across India, from Band B1 to B7. It does not apply to contractors, consultants or interns, whose leave terms are set in their agreements. Leave rules in this document are illustrative and not legal advice; statutory entitlements under applicable law always prevail, and any legal or regulatory reference is illustrative and to be verified by Legal before external use.

The policy has three goals: to give every employee a clear and fair entitlement, to give managers a predictable way to plan work, and to give People Team and Finance an accurate basis for payroll in NorthPay. All leave and attendance transactions are recorded in NorthPeople, the HRMS. Anything not recorded in NorthPeople does not count.

2. Definitions

- **Leave year**: the calendar year, January to December. Casual and sick leave are credited per leave year. The fiscal year (1 April to 31 March) is used for budgets and performance, not for leave.
- **Working day**: a day on which the employee is scheduled to work, excluding weekly offs and company holidays.
- **Late mark**: an arrival after 9:30 IST but within 30 minutes of that time, recorded automatically from badge or NorthPeople check-in.
- **Confirmation**: the formal completion of the 6-month probation period, recorded in NorthPeople.
- **Loss of pay (LOP)**: an unpaid day, deducted from gross salary when no leave balance is available or approval is not given.
- **Reporting manager**: the employee's line manager of record in NorthPeople. **Department head**: the head of the function (for example VP Engineering).

- **Compensatory off (comp-off)**: a day off granted for approved work on a weekly off or company holiday.

3. Roles and Responsibilities

- **Employee**: applies for leave in NorthPeople in advance wherever possible, keeps supporting documents, and records attendance honestly.
- **Reporting manager**: approves or rejects leave in NorthPeople within 2 working days, plans coverage, and reviews attendance exceptions for the team.
- **Department head**: acts on leave requests that escalate after the 2-working-day window and approves exceptions within the function.
- **HR Business Partner**: interprets the policy, handles disputed cases and special leave requests.
- **People Operations**: maintains balances, accrual runs and holiday calendars in NorthPeople, and sends final attendance data to payroll.
- **Payroll (Finance)**: applies LOP and encashment in NorthPay based on approved NorthPeople data.

4. Working Hours and Attendance

4.1 Standard day and core hours

The standard working day is 9:30 to 18:30 IST with a 1-hour lunch break. Core collaboration hours are 11:00 to 16:00 IST: during this window employees should be available for meetings and team communication, and meetings should be scheduled inside it wherever possible. The hybrid work arrangement, anchor days and approval of remote work are covered in HR-003 and are not repeated here.

4.2 Recording attendance

Employees in offices record attendance by badge access, which syncs to NorthPeople. Remote and hybrid employees on work-from-home days check in and out in NorthPeople. Forgotten check-ins must be regularised in NorthPeople within 3 working days of the day concerned, with the manager approving the regularisation. Repeated regularisation without a reason may be reviewed by the HR Business Partner.

4.3 Late arrival grace and late marks

An employee has a grace allowance of up to 3 late marks per month, each of up to 30 minutes after 9:30 IST. The 4th late mark in a month is deducted as half-day casual leave. An arrival more than 30 minutes after 9:30 IST is not a late mark; the manager decides whether it is treated as approved short absence, a half-day of leave, or a regularised day. Late marks reset at the start of each calendar month and do not carry over.

Example: Meera (Band B3, Bengaluru) arrives at 9:45, 9:50 and 10:00 on three days in July. These are her 3 allowed late marks. On the fourth occasion, at 9:40, the system records the 4th late mark and deducts half a day of casual leave. If her casual leave balance is zero, the half-day becomes loss of pay.

4.4 Half-days and short absences

A half-day is a day worked or absent for less than half of the standard hours and is recorded as 0.5 day. Employees should inform the manager before the start of the day. An absence without

information or approval is treated as unauthorised and may result in loss of pay and, if repeated, action under the disciplinary process in HR-002.

5. Leave Entitlements

All annual entitlements below are per calendar year and apply to confirmed employees. Employees who join mid-year receive CL and SL pro-rata for the remaining full months of the year, and EL accrues from the month of joining.

Leave type	Entitlement	Carry-forward	Key condition
Casual Leave (CL)	8 days per year	No	Planned or short-notice personal needs
Sick Leave (SL)	10 days per year	No	Medical certificate if more than 2 consecutive days
Earned Leave (EL)	18 days per year, accrued at 1.5 days per month	Yes, maximum 30 days	Usable only after probation confirmation
Maternity leave	26 weeks	Not applicable	Per applicable law, illustrative
Paternity leave	10 working days	Not applicable	Within the period around the birth or adoption
Marriage leave	5 working days	Once during service	Own marriage only
Bereavement leave	5 working days	Not applicable	Immediate family

5.1 Casual Leave

Casual Leave is meant for short-notice or planned personal matters. CL may be combined with other leave but a single CL request should not exceed 3 consecutive working days without manager approval. Unused CL lapses on 31 December; it does not carry forward and is not encashed.

5.2 Sick Leave

Sick Leave covers the employee's own illness or injury and medical appointments. An employee who is ill should inform the reporting manager as early as possible on the first day. A sick leave of more than 2 consecutive days needs a medical certificate, uploaded to NorthPeople within 3 working days of returning to work. Sick leave of 1 or 2 days does not need a certificate. Weekly offs and holidays falling inside a continuous sick period are not counted as leave unless they fall at the start or end of the period and the certificate says so. Unused SL lapses on 31 December and is not encashed.

Example: Arjun (Band B2) is unwell for 3 days, Monday to Wednesday. Because the absence is more than 2 consecutive days, he must upload a medical certificate within 3 working days of returning. If he is unwell only on Monday and Tuesday, no certificate is needed.

5.3 Earned Leave

Earned Leave accrues at 1.5 days per month, which gives 18 days per year. Accrual is credited at the end of each month. EL can be used only after probation confirmation; EL accrued during probation is credited to the balance but cannot be applied for until confirmation is recorded. Unused EL carries forward up to a maximum balance of 30 days; days above 30 lapse at year end. On exit, up to 15 days of EL balance is encashed in the full and final settlement (see HR-006); the rate is gross monthly salary divided by 30 per day (illustrative, confirm with Payroll).

An EL request of 5 or more consecutive working days needs 10 working days' notice to the reporting manager. Shorter requests may be approved at the manager's discretion for emergencies, with a note in NorthPeople.

Example: Divya (Band B4, confirmed) has 28 EL days at the end of December and accrues 18 days during the following year. Her carry-forward at the next year-end cannot take her balance above 30 days; anything above 30 lapses. If she plans a 7-day holiday starting on 15 March, she must apply by 28 February at the latest (10 working days before the start, excluding holidays and weekly offs).

5.4 Maternity, paternity, marriage and bereavement leave

- **Maternity leave** is 26 weeks, subject to applicable law (illustrative; to be verified by Legal). The employee informs the HR Business Partner as early as practicable, and People Operations arranges the leave in NorthPeople. Pay during maternity leave follows applicable law and company benefits.
- **Paternity leave** is 10 working days and may be taken in one block or split into two parts within the period around the birth or adoption of a child.
- **Marriage leave** is 5 working days, available once during service for the employee's own marriage, and should be applied for at least 10 working days in advance with the invitation or proof submitted afterwards.
- **Bereavement leave** is 5 working days on the death of an immediate family member, meaning spouse, children, parents, siblings, and parents-in-law. The employee should inform the manager at once and may submit proof later. If more time is needed, CL or EL may be added.

5.5 Compensatory off

When an employee works on a weekly off or company holiday with prior manager approval, the employee may receive a compensatory off. A comp-off must be used within 60 days of the date worked; an unused comp-off lapses and is not encashed. The manager records the approval in NorthPeople before the work day wherever possible. On-call compensation for engineers, including comp-off for night-time pages, is governed by the on-call arrangements in engineering documents rather than this policy.

5.6 Loss of pay

Loss of pay applies when an employee is absent and has no leave balance, when leave is not approved and the employee is absent, or when an absence is unauthorised. LOP days are deducted from gross monthly salary at gross salary divided by the number of days in the month. LOP days do not accrue leave for that month in the way set out by People Operations, and extended LOP may affect benefits such as insurance premium arrangements. The employee is informed in NorthPeople before the payroll cut-off.

6. Holidays

Northstar Systems observes 12 company holidays per calendar year. The list is published in NorthPeople in December for the next year and differs slightly for Bengaluru and Mumbai only where state-specific holidays apply. In addition each employee may choose 2 floating holidays from an optional list of 6. Floating holidays must be selected in NorthPeople at least 5 working days before the day taken, are not carried forward, and are not encashed. A holiday that falls on a weekly off is not replaced by another day.

7. Applying for and Approving Leave

7.1 How to apply

1 Open NorthPeople and choose Apply Leave.
2 Select the leave type, dates, and half-day option if relevant.
3 Add a short reason and, where required, attach the document (medical certificate, invitation).
4 Name a backup person for the period, particularly for customer-facing roles in Customer Success and Support.
5 Submit; the reporting manager is notified automatically.

7.2 Manager approval timeline

The reporting manager must approve or reject a leave request in NorthPeople within 2 working days. If the manager does not act within 2 working days, the request escalates automatically to the department head. A rejection must include a reason, for example a customer launch or a staffing conflict, and the manager should offer alternate dates. Managers may not reject statutory or special leave (maternity, bereavement) without HR Business Partner input.

7.3 Notice summary

Situation	Notice needed
CL, 1 to 2 days	As early as possible; same-day request allowed in emergencies
SL	Inform manager on the first day; certificate if over 2 consecutive days
EL, fewer than 5 consecutive working days	Reasonable notice, usually 3 working days
EL, 5 or more consecutive working days	10 working days' notice
Marriage leave	At least 10 working days
Floating holiday	At least 5 working days

7.4 Cancelling or changing leave

An approved leave can be cancelled by the employee in NorthPeople before the leave starts. A cancellation after the leave has started needs manager approval. A manager may ask an employee to postpone approved leave only for a genuine business need such as a SEV1 incident or customer go-live, and must agree alternate dates; any cost of non-refundable travel resulting from such a recall is reimbursed after review by the HR Business Partner.

8. Special Situations and Edge Cases

8.1 Leave during probation

During probation an employee may use CL and SL but may not use EL until confirmation. If the probation is extended once by up to 3 months, EL remains blocked until confirmation. If an

employee is on leave for more than 15 working days in aggregate during probation, People Operations may extend probation by the same number of days within the permitted extension.

8.2 Leave and notice period

Leave during the notice period needs approval from the manager and HR Business Partner and does not extend the notice period automatically unless agreed in writing. Employees may not use EL to offset notice days unless the notice shortfall is approved under HR-006.

8.3 Illness during leave

If an employee falls sick while on CL or EL for more than 2 days and has a medical certificate, the days may be converted to SL on the HR Business Partner's approval, subject to available SL balance.

8.4 Leave across year-end

A leave that begins in December and ends in January draws CL and SL from the balance of the year in which each day falls. Employees should check their balances in NorthPeople before the last week of December since CL and SL lapse automatically.

8.5 Remote work and attendance

Work-from-home days count as normal attendance when checked in. Working from a location other than the registered city for more than 10 working days in a year needs HR and Security approval, as described in HR-003. Leave cannot be converted into work-from-home retroactively.

8.6 Customer-facing coverage

Support and Customer Success teams must keep minimum coverage during P1/P2 hours defined by their support tier. Managers in these teams may reject overlapping leave requests when coverage would fall below the agreed roster, but should approve at least one alternative window.

9. Worked Scenarios

Example 1, unused balance at year-end: Sanjay (Band B3) has 3 CL, 2 SL and 21 EL on 31 December. The CL and SL lapse. The 21 EL carry forward in full as the total is below 30 days.

Example 2, exit encashment: Kavita (Band B5) resigns with 24 EL days. Under the encashment limit, 15 days are encashed in F&F; the remaining 9 days lapse. Her notice period of 90 days applies as set in HR-006.

Example 3, manager silence: Rohit applies for 2 days of CL on a Monday. His manager does not respond until Thursday. The request escalates automatically to the department head after 2 working days, who may approve it. Rohit may not assume approval from silence, and should confirm in NorthPeople.

Example 4, late marks and CL: Priya has 0.5 CL left. She records four late marks in a month. The 4th late mark deducts half a day of CL, taking her balance to zero. Any further half-day deduction in that leave year becomes loss of pay.

10. Exceptions and Escalation

Exceptions to this policy, for example advance EL during probation for a family emergency or extra bereavement leave, may be requested through the reporting manager and must be approved by

the HR Business Partner and the department head. Such approvals are recorded in NorthPeople with the reason. Disputes over balances should be raised first with the HR Helpdesk (hr-helpdesk@northstar-systems.example); if unresolved, they follow the grievance route in HR-002 (Level 1 reporting manager, Level 2 HR Business Partner, Level 3 Grievance Committee). Misuse of leave, such as false certificates, is treated as misconduct under the disciplinary ladder.

11. Related Documents

- HR-015 covers holiday calendar and related people-operations practice.
- HR-003 explains hybrid work, anchor days (Tuesday, Wednesday, Thursday), the remote work allowance and out-of-city approvals.
- HR-006 explains notice periods, EL encashment on exit and full and final settlement.
- HR-002, the Employee Handbook, summarises these rules for employees and describes the grievance and disciplinary routes.

12. Revision History

Version	Date	Change	Approved by
4.0	2024-04-01	Added floating holidays and comp-off validity	Chief People Officer
4.1	2025-01-15	Clarified sick leave certificate and EL notice rules	Chief People Officer
4.2	2025-07-09	Clarified late-mark treatment and manager approval timeline	Head of People Operations